

Cisco Systems Inc. (cscs)

F3Q26 review: Networking order momentum on AI & campus, EBIT margins to stabilize

CSCO

12m Price Target: **\$116.00**Price: **\$101.87**Upside: **13.9%**

CSCO's F3Q26 EPS of \$1.06 beat (v. GSe/Visible Alpha consensus of \$1.04/\$1.03, guidance of \$1.02-\$1.04) driven by Networking acceleration (revenue +25% yoy). CSCO demonstrated strong momentum in AI optics/systems, enterprise DC, and campus switching and wireless, underscoring the strategic importance of Silicon One (not reliant on advanced node merchant silicon, which is supply constrained) and the enterprise modernization underway to support AI applications. CSCO provided a framework for F2027 for >\$68 bn revenue (4-6% long-term revenue growth, plus an incremental \$2 bn in AI revenue) with stable EBIT margins.

First, product order growth accelerated substantially to +35% yoy, with Networking product orders accelerating to over 50% yoy (v. 20% yoy in F2Q26) on AI (e.g., scale-across), enterprise DC, and campus. Within AI, CSCO achieved \$1.9 bn in hyperscale orders across Silicon One-based systems & optics, as well as \$300 mn in non-hyperscale AI orders. CSCO's F2026 outlook for AI hyperscale revenue was raised to \$4 bn (\$3 bn prior) and now expects \$9 bn in orders (v. \$5 bn prior). Cisco expects \$6 bn in AI hyperscale revenue in F2027. **Second**, the campus networking refresh is underway, which continues to represent a multi-year, multi-billion dollar opportunity for the company. **Third**, Security continues to face headwinds from both (a) declines in legacy products and (b) continued Splunk transition from on-prem to cloud subscriptions, though security orders (ex Splunk) achieved DD% yoy growth with Splunk cloud subscription headwinds abating in F2027. **Fourth**, CSCO's F4Q26 gross margin missed (65.5%-66.5% v. 66.7% consensus) driven by greater hardware mix & commodity costs. Despite gross margin pressures, CSCO expects EBIT margins to remain relatively stable (F4Q25 outlook for 34-35% v. 34.4% consensus) supported by pricing actions, contract T&C adjustments, component purchasing commitments, and lowering memory utilization across portions of its portfolio.

NEUTRAL

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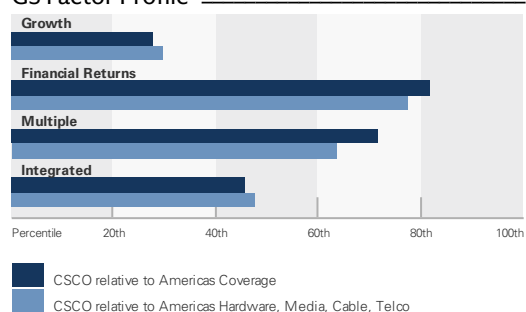
Key Data

Market cap: \$405.6bn
Enterprise value: \$419.3bn
3m ADTV: \$1.8bn
United States
Americas Hardware, Media, Cable, Telco
M&A Rank: 3

GS Forecast

	7/25	7/26E	7/27E	7/28E
Revenue (\$ mn) New	56,654.0	62,823.8	69,128.6	73,567.4
Revenue (\$ mn) Old	56,654.0	61,556.4	65,919.4	69,775.4
EBITDA (\$ mn)	22,301.8	24,311.6	27,131.5	28,205.9
EBIT (\$ mn)	19,490.8	21,701.0	23,828.6	25,501.1
EPS (\$) New	3.81	4.26	4.73	5.17
EPS (\$) Old	3.81	4.14	4.54	4.93
P/E (X)	15.5	23.9	21.5	19.7
Dividend yield (%)	2.7	1.6	1.7	1.7
Net debt/EBITDA (X)	0.5	0.6	0.2	(0.1)
	4/26	7/26E	10/26E	1/27E
EPS (\$)	1.06	1.15	1.16	1.16

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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Cisco Systems Inc. (CSCO)

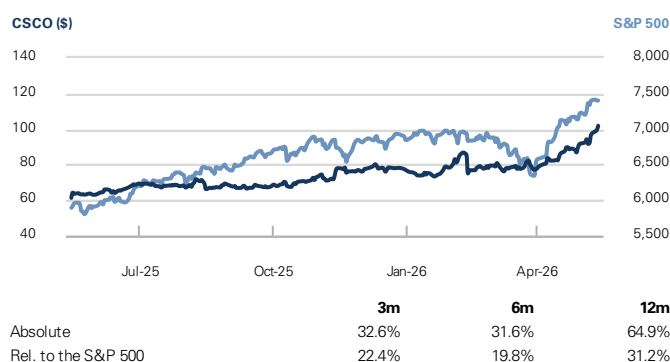
Rating since Mar 6, 2023

Ratios & Valuation

	7/25	7/26E	7/27E	7/28E
P/E (X)	15.5	23.9	21.5	19.7
EV/EBITDA (X)	11.0	17.1	15.0	14.1
EV/sales (X)	4.3	6.6	5.9	5.4
FCF yield (%)	5.7	2.8	4.7	5.0
EV/DACF (X)	15.4	22.3	19.6	18.1
CROCI (%)	19.4	22.5	24.2	25.6
ROE (%)	33.0	34.9	35.3	34.0
Net debt/EBITDA (X)	0.5	0.6	0.2	(0.1)
Net debt/equity (%)	25.6	27.1	10.6	(4.6)
Interest cover (X)	12.2	14.7	16.3	17.4
Inventory days	67.3	71.4	80.6	81.2
Receivable days	43.1	41.7	42.1	42.4
Days payable outstanding	49.8	50.0	54.0	59.4

Growth & Margins (%)

	7/25	7/26E	7/27E	7/28E
Total revenue growth	5.3	10.9	10.0	6.4
EBITDA growth	6.8	9.0	11.6	4.0
EPS growth	2.1	11.8	11.2	9.3
DPS growth	2.5	2.5	2.4	2.4
Gross margin	68.7	66.9	66.0	65.8
EBIT margin	34.4	34.5	34.5	34.7

Price Performance

Source: FactSet. Price as of 13 May 2026 close.

Income Statement (\$ mn)

	7/25	7/26E	7/27E	7/28E
Total revenue	56,654.0	62,823.8	69,128.6	73,567.4
Cost of goods sold	(17,716.0)	(20,825.0)	(23,521.8)	(25,135.7)
SG&A	(12,245.2)	(12,771.6)	(13,875.8)	(14,712.0)
R&D	(7,202.0)	(7,526.2)	(7,902.5)	(8,218.6)
Other operating inc./ (exp.)	-	-	-	-
EBITDA	22,301.8	24,311.6	27,131.5	28,205.9
Depreciation & amortization	(2,811.0)	(2,610.5)	(3,302.9)	(4,815.4)
EBIT	19,490.8	21,701.0	23,828.6	25,501.1
Net interest inc./ (exp.)	(592.0)	(608.1)	(403.6)	41.6
Income/ (loss) from associates	-	-	-	-
Pre-tax profit	18,643.8	20,936.9	23,225.0	25,342.7
Provision for taxes	(3,431.0)	(3,977.9)	(4,412.8)	(4,815.1)
Minority interest	-	-	-	-
Preferred dividends	-	-	-	-
Net inc. (pre-exceptionals)	15,212.8	16,959.0	18,812.3	20,527.6
Net inc. (post-exceptionals)	10,180.0	12,418.9	13,216.2	15,209.3
EPS (basic, pre-exception) (\$)	3.83	4.29	4.77	5.21
EPS (diluted, pre-exception) (\$)	3.81	4.26	4.73	5.17
EPS (ex-ESO exp., dil.) (\$)	--	--	--	--
DPS (\$)	1.62	1.66	1.70	1.74
Div. payout ratio (%)	42.3	38.7	35.7	33.4
Wtd avg shares out. (basic) (mn)	3,976.0	3,954.0	3,947.2	3,940.3
Wtd avg shares out. (diluted) (mn)	3,998.0	3,985.5	3,977.2	3,970.3

Balance Sheet (\$ mn)

	7/25	7/26E	7/27E	7/28E
Cash & cash equivalents	8,346.0	6,899.9	14,534.9	23,486.8
Accounts receivable	6,701.0	7,649.9	8,282.3	8,817.8
Inventory	3,164.0	4,983.0	5,409.3	5,769.9
Other current assets	16,775.0	18,338.0	18,538.0	18,738.0
Total current assets	34,986.0	37,870.8	46,764.5	56,812.5
Net PP&E	2,113.0	2,755.2	2,616.0	1,873.9
Net intangibles	68,311.0	67,142.0	67,142.0	67,142.0
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	16,881.0	18,819.0	17,462.0	17,422.0
Total assets	122,291.0	126,587.0	133,984.5	143,250.4
Accounts payable	2,528.0	3,172.6	3,785.4	4,401.8
Short-term debt	5,232.0	8,719.0	8,719.0	8,719.0
Current lease liabilities	-	-	-	-
Other current liabilities	27,304.0	25,099.6	25,800.7	26,394.3
Total current liabilities	35,064.0	36,991.3	38,305.0	39,515.1
Long-term debt	22,861.0	21,367.0	21,367.0	21,367.0
Non-current lease liabilities	-	-	-	-
Other long-term liabilities	17,523.0	17,973.0	17,973.0	17,973.0
Total long-term liabilities	40,384.0	39,340.0	39,340.0	39,340.0
Total liabilities	75,448.0	76,331.3	77,645.0	78,855.1
Preferred shares	-	-	-	-
Total common equity	46,843.0	50,255.8	56,339.4	64,395.2
Minority interest	-	-	-	-
Total liabilities & equity	122,291.0	126,587.0	133,984.5	143,250.4
BVPS (\$)	11.72	12.61	14.17	16.22

Cash Flow (\$ mn)

	7/25	7/26E	7/27E	7/28E
Net income	10,180.0	12,418.9	13,216.2	15,209.3
D&A add-back	2,811.0	2,610.5	3,302.9	2,704.8
Minority interest add-back	-	-	-	-
Net (inc)/dec working capital	(1,292.0)	(5,347.6)	55.1	114.0
Others	2,494.0	3,173.7	3,978.7	4,104.8
Cash flow from operations	14,193.0	12,855.5	20,552.9	22,132.8
Capital expenditures	(905.0)	(1,457.8)	(1,806.7)	(1,922.7)
Acquisitions	(291.0)	(46.0)	0.0	-
Divestitures	-	-	-	-
Others	2,929.0	(2,154.0)	0.0	-
Cash flow from investing	1,733.0	(3,657.8)	(1,806.7)	(1,922.7)
Dividends paid	(6,437.0)	(6,566.8)	(6,761.3)	(6,908.3)
Share issuance/(repurchase)	(6,486.0)	(6,533.0)	(4,350.0)	(4,350.0)
Inc/(dec) in debt	(2,812.0)	1,981.0	-	-
Others	(80.0)	(32.0)	-	-
Cash flow from financing	(15,088.0)	(10,643.8)	(11,111.3)	(11,258.3)
Total cash flow	838.0	(1,446.1)	7,635.0	8,951.9
Free cash flow	13,288.0	11,397.7	18,746.2	20,210.2
Free cash flow per share (basic) (\$)	3.34	2.88	4.75	5.13

Source: Company data, Goldman Sachs Research estimates.

- **Substantial acceleration in product orders across customer segments driven by AI investments & campus refresh.** During the quarter, Cisco achieved product orders of +35% yoy, substantially accelerating from +18% yoy growth in F2Q26. First, Cisco achieved \$1.9 bn of AI hyperscale orders, driven by both Silicon One based networking systems, and Acacia optics (\$1 bn, up triple digits yoy). Cisco announced five new design wins achieved during the quarter with hyperscalers during the quarter, including two scale across wins (using Silicon One P200) and one scale out win (using Silicon One G200). Additionally, Cisco achieved a third scale-across win (separate from the aforementioned 5 wins) after the quarter close with its P200 silicon. Cisco raised its F2026 AI hyperscale order guide to \$9 bn (v. \$5 bn prior) and now expects F2026 hyperscale AI revenue of \$4 bn (v. \$3 bn prior) driven by continued momentum across existing customers and accelerating demand for optics. To-date, most of CSCO's AI orders & revenue have been for scale-across applications. Separately, product orders from non-hyperscale customers also accelerated (+19% yoy v. +10% yoy in F2Q26), with ~\$300 mn non-hyperscale AI orders in the quarter, with the order pipeline growing to ~\$3 bn (v. \$2.5 bn prior). Notably, Cisco is not seeing constraints on advanced nodes unlike other networking peers (e.g. Arista).
- **Gross margins impacted by memory cost inflation & product mix.** F3Q26 gross margins of 66.0% were down ~160 bps yoy on product mix and memory, slightly missing GSe/consensus of 66.2%. First, product mix weighed on gross margins, with strong demand across its hardware portfolio (Networking orders up 25% yoy with DD% yoy growth in data center & campus switches, wireless products, and SP routing). Additionally, memory cost inflation also negatively weighed on margins, to which Cisco has undertaken margin-protective measures including (a) raising prices across its hardware portfolio, (b) adjusted terms & conditions across contracts with channel partners and customers, and (c) component purchasing commitments. Though Cisco's F4Q26 gross margin outlook missed (65.5%-66.5% v. 66.7% consensus), the company expects EBIT margins to be relatively more stable on a forward basis as it benefits from aforementioned margin defensive actions. In addition, Cisco is working towards reducing the memory utilization of its product portfolio (e.g. Wireless) to consume less memory to optimize memory spend & supply. Cisco expects to transition all of its high-performance switches across its data center & campus networking portfolio to Silicon One by the end of F2029. CSCO also reiterated its long-term growth framework to grow EPS ahead of revenue growth.
- **Security miss on continued headwinds from Splunk & prior-gen products.** During the quarter, Security revenue of \$2.0 bn (flat yoy) was in-line with consensus \$2.0 bn, driven by continued headwinds from (a) declines in legacy products and (b) continued transition from on-prem revenue to cloud subscriptions within Splunk. Per the company, CSCO's core Security portfolio (ex-Splunk) saw orders grew DD% yoy across both new and refreshed products with DD% order growth in firewall. Over 1,000 new customers purchased new products (Secure Access, XDR, Hypershield, and AI Defense), and Cisco expects to exceed its target of 1,0000 new customer logos for Splunk in F2026. According to the company, headwinds to Security growth

from cloud-based subscription adoption within Splunk should abate beginning F2Q27.

F3Q26 earnings results

CSCO's F3Q26 EPS of \$1.06 beat GSe/consensus of \$1.04/\$1.03 and guidance of \$1.02-\$1.04.

- **CSCO's F3Q26 revenue of \$15.8 bn (+12% yoy) beat GSe/consensus \$15.6/\$15.5 bn and guidance of \$15.4-\$15.6 bn with:**
 - **Networking** revenue of \$8.8 (+25% yoy) beat GSe/consensus \$8.3 bn/\$8.4 bn.
 - **Security** revenue of \$2.0 bn (flat yoy) missed GSe \$2.1 bn but was in-line with consensus \$2.0 bn
 - **Collaboration** revenue of \$1.0 (-1% yoy) missed GSe/consensus \$1.1 bn/\$1.1 bn.
 - **Observability** revenue of \$269 mn (+3 yoy) was just below GSe/consensus \$273/\$276 mn.
- **Gross profit of \$10.5 bn beat GSe/consensus \$10.3/\$10.3 bn**, with gross margins of 66% below GSe/consensus 66.2%/66.2% and at the midpoint of CSCO's guidance of 65.5%-66.5%.
- **EBIT of \$5.4 bn beat GSe/consensus \$5.3/\$5.3 bn** with margins of 34.2% just above GSe/consensus 34.0%/34.0% and slightly above the midpoint of CSCO's guidance of 33.5%-34.5%.
- **Product orders accelerated to +35% yoy** (v. +18% in F2Q26), with non-hyperscale orders up +19% yoy.
- **Buybacks of \$1.25 bn** were in-line with our estimate of \$1.25 bn and declined from \$2.1 bn in the prior quarter.

CSCO's F4Q26 revenue guidance includes (1) revenue of \$16.7-\$16.9 bn (v. consensus of \$15.8 bn); (2) Non-GAAP EPS of \$1.16-\$1.18 (v. consensus \$1.07); (3) GAAP EPS of \$0.80-\$0.85; (4) non-GAAP gross margins between 65.5%-66.5% (v. 66.7% consensus); (5) Non-GAAP EBIT margins between 34-35% (v. 34.4% consensus); (6) GAAP tax rate of ~16%; and (7) Non-GAAP tax rate of ~19%.

CSCO updated FY2026 guidance including (1) revenue of \$62.8-\$63.0 bn (v. \$61.2-\$61.7 bn prior); (2) Non-GAAP EPS of \$4.27-\$4.29 (v. \$4.13-\$4.17 prior); (3) GAAP EPS of \$3.16-\$3.21 (v. \$3.00-\$3.08 prior); (4) GAAP tax rate of ~15%; and (5) Non-GAAP tax rate of ~19%.

Exhibit 1: CSCO actuals vs. prior GS estimates

\$ millions, except per-share data

CSCO Income Statement Actuals vs. estimates (\$, mn unless specified otherwise)	Q326				Q325	
	Actual	Prior	Δ (\$, mn)	Δ (%)	Actual	yoy Δ (%)
Product Sales	12,117	11,822	295	2%	10,374	17%
Services Sales	3,724	3,758	-34	-1%	3,775	-1%
Total Sales	15,841	15,580	261	2%	14,149	12%
Cost of Sales (non-GAAP)	5,383	5,260	123	2%	4,446	21%
Total Gross Profit (Non-GAAP)	10,458	10,320	138	1%	9,703	8%
% margins	66.0%	66.2%		0%	68.6%	-2.6pp
Operating expenses (non-GAAP)	5,046	5,023	23	0%	4,823	5%
Operating Income (Non-GAAP)	5,412	5,297	115	2%	4,880	11%
% margins	34.2%	34.0%		0%	34.5%	-0.3pp
Interest Income	214	211	3	1%	250	-14%
Interest Expense	-377	-370	-7	2%	-403	-6%
Other Income (Loss)	242	-50	292		-102	-337%
Gain/loss on equity investments (non-GAAP)	-273	0	-273		19	-1537%
Earnings before Tax (non-GAAP)	5,218	5,088	130	3%	4,644	12%
Net income - recurring (non-GAAP)	4,227	4,121	106	3%	3,831	10%
Net income - GAAP	3,373	2,882	491	17%	2,491	35%
Diluted EPS - recurring (non-GAAP)	\$1.06	\$ 1.04	\$ 0.03	3%	\$0.96	11%
GAAP EPS	\$0.85	\$ 0.72	\$ 0.12	17%	\$0.62	36%
Diluted shares	3,982	3,980	2	0%	4,002	0%
Networking	8,815	8,338	477	6%	7,068	25%
Security	2,008	2,128	-120	-6%	2,013	0%
Collaboration	1,024	1,083	-59	-5%	1,031	-1%
Observability	269	273	-4	-1%	261	3%
Total Product	12,117	11,822	295	2%	10,374	17%
Services	3,724	3,758	-34	-1%	3,775	-1%
Total Revenue (including Splunk)	15,841	15,580	261	2%	14,149	12%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: CSCO actuals vs. estimates vs. consensus

\$ millions, except per-share data

Visible Alpha consensus metrics (\$, mn)			GSe		Cons.		Guidance/Comments		GS v. Consensus	
	Actual	YoY (%)	GSe	YoY (%)	Cons.	Δ (\$, mn)	Δ (%)	YoY (%)	Δ (\$, mn)	Δ (%)
Sales	\$15,841	12%	\$15,580	10%	15,546	295	2%	10%	\$34	0%
Gross Profit	\$10,458	8%	\$10,320	6%	10,291	167	2%	6%	\$29	0%
Gross profit margins	66.0%	2.6pp	66.2%	2.3pp	66.2%			2.4pp	65.5-66.5%	
Operating income (non-GAAP)	\$5,412	11%	\$5,297	9%	5,274	138	3%	8%	\$23	0%
EBIT margins	34.2%	-0.3pp	34.0%	-0.5pp	33.9%			-0.6pp	33.5%-34.5%	
Net income - Non GAAP	\$4,227	10%	\$4,121	8%	4,118	109	3%	7%	\$3	0%
Collaboration	1,024	-1%	1,083	5%	1,063	-39	-4%	3%	20	2%
Observability	269	3%	273	5%	276	-7	-2%	6%	-3	-1%
Total Product	12,117	17%	11,822	14%	11,766	351	3%	13%	56	0%
Services	3,724	-1%	3,758	0%	3,780	-56	-1%	0%	-23	-1%
Total Revenue	15,841	12%	15,580	10%	15,546	295	2%	10%	34	0%

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

Estimate and price target changes

We raise our F2026/27/28 EPS estimates by 4% on average on higher AI revenue outlook & product order momentum.

Exhibit 3: CSCO estimate changes

\$ millions, expect per-share data

CSCO Income Statement Current vs. prior (\$, mn unless specified otherwise)	F2026E				F2027E				F2028E			
	Current	Prior	Δ (\$, mn)	Δ (%)	Current	Prior	Δ (\$, mn)	Δ (%)	Current	Prior	Δ (\$, mn)	Δ (%)
Product Sales	47,773	46,472	1,301	3%	53,928	50,543	3,385	7%	58,215	54,063	4,151	8%
Services Sales	15,050	15,084	-34	0%	15,201	15,377	-176	-1%	15,353	15,712	-359	-2%
Total Sales	62,824	61,556	1,267	2%	69,129	65,919	3,209	5%	73,567	69,775	3,792	5%
Cost of Sales (non-GAAP)	20,825	20,242	583	3%	23,522	21,854	1,668	8%	25,136	23,208	1,927	8%
Total Gross Profit (Non-GAAP)	41,999	41,315	684	2%	45,607	44,065	1,542	3%	48,432	46,567	1,865	4%
% margins	66.9%	67.1%	-0.3%		66.0%	66.8%	-0.9%		65.8%	66.7%	-0.9%	
R&D (non-GAAP)	7,526	7,465	61	1%	7,902	7,839	64	1%	8,219	8,152	67	1%
S&M (non-GAAP)	10,534	10,485	49	0%	11,614	11,206	407	4%	12,359	11,862	498	4%
G&A (non-GAAP)	2,237	2,240	-2	0%	2,262	2,265	-2	0%	2,353	2,355	-2	0%
Amort of purchased intangibles	957	985	-28	-3%	1,005	1,034	-30	-3%	1,055	1,086	-31	-3%
In-process research and development	182	183	-1		0	0	0		0	0	0	
Operating expenses (non-GAAP)	20,298	20,190	108	1%	21,778	21,309	469	2%	22,931	22,369	562	3%
Operating Income (Non-GAAP)	21,701	21,125	576	3%	23,829	22,756	1,073	5%	25,501	24,198	1,303	5%
Interest Income	869	866	3	0%	1,062	1,134	-72	-6%	1,507	1,590	-83	-5%
Interest Expense	-1,477	-1,460	-17	1%	-1,465	-1,427	-39	3%	-1,465	-1,427	-39	3%
Other Income (Loss)	373	8	365		-200	-200	0		-200	-200	0	
Gain/loss on equity investments (non-GAAP)	-529	-256	-273		0	0	0		0	0	0	
Earnings before Tax (non-GAAP)	20,937	20,356	581	3%	23,225	22,263	962	4%	25,343	24,162	1,181	5%
Net income - recurring (non-GAAP)	16,959	16,488	471	3%	18,812	18,033	779	4%	20,528	19,571	957	5%
Net income - GAAP	12,419	11,892	527	4%	13,216	12,736	480	4%	15,209	14,101	1,108	8%
Diluted EPS - recurring (non-GAAP)	\$4.26	\$ 4.14	\$ 0.12	3%	\$4.73	\$ 4.54	\$ 0.19	4%	\$5.17	\$ 4.93	\$ 0.24	5%
GAAP EPS	\$3.12	\$ 2.98	\$ 0.13	4%	\$3.32	\$ 3.20	\$ 0.12	4%	\$3.83	\$ 3.55	\$ 0.28	8%
Diluted shares	3,985	3,984	1	0%	3,977	3,975	2	0%	3,970	3,968	2	0%
Networking	34,258	32,803	1,455	4%	39,407	35,602	3,805	11%	42,524	37,733	4,792	13%
Security	8,169	8,262	-93	-1%	9,014	9,426	-412	-4%	9,911	10,482	-571	-5%
Collaboration	4,196	4,254	-59	-1%	4,196	4,254	-59	-1%	4,238	4,297	-59	-1%
Observability	1,151	1,155	-4		1,311	1,260	50		1,541	1,551	-10	
Total Product	47,773	46,472	1,301	3%	53,928	50,543	3,385	7%	58,215	54,063	4,151	8%
Services	15,050	15,084	-34	0%	15,201	15,377	-176	-1%	15,353	15,712	-359	-2%
Total Revenue (including Splunk)	62,824	61,556	1,267	2%	69,129	65,919	3,209	5%	73,567	69,775	3,792	5%

Source: Goldman Sachs Global Investment Research

Valuation. We are **Neutral-rated** on **CSCO** with a 12-month target price of \$116 (v. \$75 prior) based on 23x (v. 16X prior) our NTM+1Y (Q5-Q8) EPS. We raise our multiple on greater visibility into Cisco's secular growth drivers through both AI (as a networking & optics vendor using proprietary silicon) and ongoing enterprise modernization investments.

Key upside risks include secular tailwinds including hybrid work, multi-cloud network architecture adoption, broader roll-out of WiFi 6/6E and 5G, increasing edge compute use cases; New disaggregated consumption models to target previously underserved cloud providers, near-term revenue visibility from elevated backlog; **downside risks** include competition, including from major Chinese providers Huawei & H3C and whitebox solutions; margin degradation from mix shift into more cloud customers, elevated costs associated with supply chain headwinds; broader pricing pressure from commoditization of networking hardware; dilutive acquisitions.

Investment thesis summary. CSCO is the global market share leader of networking equipment and solutions with a comprehensive platform of offerings across networking, security, collaboration, applications, and cloud. As a leading #1 or #2 incumbent in nearly every product type and category it participates in, CSCO has been subject to market share losses over the last decade, particularly to lower cost competitors (e.g., white box) and smaller, more nimble companies with specific vertical solutions (e.g., ANET in data center switching, FFIV in ADC). That said, CSCO has the widest offering of networking solutions among any of its key competitors, cementing its role as a trusted networking solutions provider, as well as a key procurement partner for its suppliers. Product backlog, RPO, and ARR provide ample revenue visibility even if order growth slows in the near term as customers absorb previously placed orders & more closely scrutinize IT budgets in a challenging macro environment.

Income statement

Exhibit 4: CSCO income statement
\$ millions, except per share data

	Q125	Q225	Q325	Q425	Q126	Q226	Q326	Q426	Q127	Q227	Q327	Q427
millions of U.S. Dollars	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	Apr-26	Jul-26	Oct-26E	Jan-27E	Apr-27E	Jul-27E
Income Statement												
Product Sales	10,114	10,234	10,374	10,886	11,077	11,642	12,117	12,937	12,841	13,218	13,585	14,284
Services Sales	3,727	3,757	3,775	3,787	3,806	3,707	3,724	3,813	3,844	3,744	3,781	3,851
Total Sales	13,841	13,991	14,149	14,673	14,883	15,349	15,841	16,751	16,685	16,962	17,346	18,136
Product Cost of Sales (non-GAAP)	3,145	3,310	3,361	3,558	3,631	3,912	4,208	4,590	4,363	4,608	5,013	5,050
Services Cost of Sales (non-GAAP)	1,106	1,067	1,085	1,104	1,116	1,080	1,057	1,113	1,124	1,087	1,094	1,120
Cost of Sales (non-GAAP)	4,251	4,377	4,446	4,662	4,747	4,992	5,263	5,703	5,488	5,694	6,107	6,213
Product Gross Profit (non-GAAP)	6,969	6,924	7,013	7,346	7,446	7,730	7,791	8,347	8,458	8,611	8,571	9,181
Services Gross Profit (non-GAAP)	2,621	2,690	2,690	2,683	2,690	2,627	2,667	2,701	2,720	2,656	2,687	2,732
Total Gross Profit (Non-GAAP)	9,590	9,614	9,703	10,031	10,136	10,357	10,458	11,048	11,177	11,268	11,258	11,923
R&D (non-GAAP)	1,165	1,173	1,260	1,359	1,351	1,377	1,502	1,696	1,644	1,671	1,697	1,901
S&M (non-GAAP)	2,483	2,378	2,421	2,548	2,577	2,614	2,597	2,746	2,803	2,850	2,914	3,047
G&A (non-GAAP)	621	602	597	594	589	555	547	546	548	577	569	568
Operating expenses (non-GAAP)	4,269	4,153	4,278	4,502	4,517	4,546	4,649	5,189	5,064	5,098	5,480	5,605
Operating Income (Non-GAAP)	4,721	4,861	4,830	5,029	5,119	5,311	5,412	5,859	5,883	5,971	5,768	6,317
Interest Income	288	238	250	227	222	210	214	223	220	268	273	301
Interest Expense	-418	-404	-403	-368	-350	-370	-377	-380	-368	-366	-366	-368
Other Income (Loss)	41	60	-102	53	156	-25	242	-50	-50	-50	-50	-50
Gain/Loss on equity investments (non-GAAP)	-88	7	19	-118	-189	-61	-273	0	0	0	0	0
Earnings before Tax (non-GAAP)	4,532	4,642	4,644	4,826	4,902	5,115	5,218	5,682	5,687	5,723	5,615	6,201
Tax Expense (non-GAAP)	861	852	813	875	841	872	901	1,074	1,000	1,007	1,007	1,178
Tax rate	19.0%	19.0%	17.5%	18.1%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%
GAAP Net Income - recurring	2,711	2,428	2,491	2,550	2,860	3,175	3,373	3,375	3,267	3,390	3,328	3,677
Net Income - recurring (non-GAAP)	3,671	3,709	3,831	3,951	4,011	4,143	4,227	4,578	4,598	4,635	4,548	5,023
Extraordinary gain (loss), after tax	0	0	0	0	0	0	0	-380	-223	-223	0	0
Net Income - GAAP	2,711	2,428	2,491	2,550	2,860	3,175	3,373	3,011	3,044	3,167	3,328	3,677
Diluted EPS - recurring (non-GAAP)	\$0.81	\$0.84	\$0.86	\$0.89	\$0.90	\$0.94	\$0.96	\$1.00	\$0.98	\$1.00	\$0.98	\$1.04
GAAP Diluted EPS - recurring	\$0.68	\$0.61	\$0.62	\$0.64	\$0.72	\$0.80	\$0.85	\$0.85	\$0.82	\$0.85	\$0.84	\$0.92
GAAP EPS	\$0.68	\$0.61	\$0.62	\$0.64	\$0.72	\$0.80	\$0.85	\$0.76	\$0.77	\$0.80	\$0.84	\$0.92
Basic Shares	3,980	3,981	3,972	3,960	3,956	3,955	3,952	3,953	3,949	3,949	3,945	3,949
Diluted shares	4,013	4,005	4,002	3,992	3,993	3,984	3,982	3,983	3,979	3,979	3,975	3,979
Dividend per share	\$0.40	\$0.40	\$0.41	\$0.41	\$0.41	\$0.41	\$0.42	\$0.42	\$0.42	\$0.42	\$0.43	\$0.43
Year-over-year change (%)												
Product Sales	(9%)	11%	15%	10%	10%	14%	17%	19%	16%	14%	12%	10%
Services Sales	6%	8%	3%	0%	2%	(1%)	(1%)	1%	1%	1%	1%	1%
Total Sales	(6%)	5%	11%	6%	8%	16%	12%	14%	12%	11%	10%	8%
Non-GAAP:												
Product Cost of Sales	-16%	3%	13%	9%	15%	18%	29%	30%	21%	18%	16%	11%
Services Cost of Sales	1%	2%	4%	-2%	1%	1%	-3%	1%	1%	1%	4%	1%
Cost of Sales	-12%	3%	10%	6%	12%	14%	21%	23%	16%	14%	13%	5%
Product Gross Profit	4%	10%	16%	11%	7%	12%	11%	14%	14%	11%	10%	10%
Services Gross Profit	8%	7%	2%	1%	3%	2%	-1%	1%	1%	1%	0%	1%
Total Gross Profit	-3%	13%	12%	8%	6%	8%	8%	16%	16%	9%	7%	8%
R&D	11%	13%	20%	10%	5%	6%	5%	-2%	5%	6%	6%	8%
S&M	7%	6%	5%	0%	4%	10%	7%	8%	9%	9%	12%	11%
G&A	12%	10%	15%	-2%	-6%	-8%	-8%	-3%	-7%	-4%	-3%	-3%
Operating expenses (non-GAAP)	8%	10%	12%	4%	3%	8%	5%	4%	6%	7%	8%	8%
Operating Income	-12%	16%	12%	13%	8%	8%	11%	17%	10%	11%	6%	8%
Interest Income	-21%	-27%	-39%	-16%	-22%	-12%	-14%	-2%	-1%	28%	27%	35%
Interest Expense	277%	237%	13%	-12%	-16%	-6%	-6%	3%	5%	11%	-3%	-4%
Other Income (Loss)	-252%	-62%	-371%	-776%	99%	-671%	-1537%	-100%	-100%	-100%	-100%	-100%
Earnings before Tax	-19%	7%	6%	14%	9%	10%	12%	17%	15%	12%	8%	10%
Tax Expense	-19%	6%	9%	24%	9%	10%	22%	23%	15%	12%	8%	10%
Net Income - recurring	-19%	7%	8%	12%	9%	10%	10%	16%	15%	12%	8%	10%
Diluted EPS - recurring	-17%	8%	9%	14%	10%	11%	11%	16%	15%	12%	8%	10%
% of revenue												
Product Sales	73%	73%	73%	74%	75%	75%	75%	77%	77%	78%	78%	79%
Services Sales	27%	27%	27%	26%	26%	24%	24%	23%	23%	22%	22%	21%
Non-GAAP:												
Product Gross Margin	68.9%	67.7%	67.6%	67.5%	67.2%	66.4%	64.3%	64.5%	65.9%	65.1%	63.1%	64.3%
Services Gross Margin	70.3%	71.6%	71.3%	70.8%	70.7%	70.9%	71.0%	70.8%	70.8%	71.0%	70.9%	70.9%
Total Gross Margin	69.3%	68.7%	68.6%	68.4%	68.1%	67.9%	66.9%	66.9%	67.9%	66.4%	64.8%	65.7%
R&D	12.8%	12.7%	12.8%	12.7%	12.4%	12.2%	12.0%	11.3%	11.6%	11.6%	11.2%	11.0%
S&M	17.9%	17.0%	17.1%	17.4%	17.3%	17.0%	16.4%	16.4%	16.8%	16.8%	16.8%	16.8%
G&A	4.5%	4.3%	4.2%	4.0%	4.0%	3.6%	3.5%	3.3%	3.3%	3.4%	3.3%	3.1%
Operating expenses	35.2%	34.0%	34.1%	34.1%	33.7%	32.9%	31.9%	31.0%	31.7%	31.8%	31.6%	30.9%
Operating Income	34.1%	34.7%	34.6%	34.4%	34.4%	34.6%	34.2%	34.6%	34.3%	34.6%	34.2%	34.8%
Interest Income	2.1%	1.7%	1.8%	1.5%	1.5%	1.4%	1.4%	1.3%	1.3%	1.6%	1.6%	1.7%
Interest Expense	-3.0%	-2.9%	-2.8%	-2.5%	-2.4%	-2.4%	-2.4%	-2.3%	-2.2%	-2.2%	-2.1%	-2.0%
Other Income (Loss)	-0.7%	0.1%	0.1%	-0.8%	-1.3%	-0.4%	-1.7%	0.0%	0.0%	0.0%	0.0%	0.0%
Earnings before Tax	32.7%	33.2%	32.8%	32.9%	33.3%	33.3%	32.9%	33.7%	34.1%	33.7%	32.4%	34.2%
Tax Expense	6.2%	6.3%	5.7%	6.0%	6.3%	6.3%	6.3%	6.4%	6.5%	6.4%	6.2%	6.5%
Net Income - recurring	26.5%	26.9%	27.1%	26.9%	27.0%	27.0%	26.7%	27.3%	27.6%	27.3%	26.2%	27.7%
EBITDA	39.8%	40.2%	39.9%	39.6%	39.9%	39.9%	39.2%	39.2%	39.9%	39.4%	38.1%	39.7%

FISCAL												
F2021	F2022	F2023	F2024	F2025	F2026E	F2027E	F2028E	F2029E				
36,014	38,018	43,142	39,253	41,608	47,773	53,928	58,215	62,706				
13,804	13,539	13,856	14,550	15,046	15,050	15,201	15,353	15,506				
49,818	51,557	56,998	53,803	56,654	62,824	69,129	73,567	78,213				
12,457	13,958	16,800	13,179	13,554	16,459	18,097	20,883	22,345				
4,447	4,260	4,410	4,312	4,362	4,366	4,425	4,453	4,480				
16,904	18,219	20,210	17,491	17,916	20,825	22,522	25,336	26,826				
23,557	24,080	27,342	26,074	28,254	31,514	34,831	37,532	40,381				
9,357	9,246	9,446	10,238	10,654	10,665	10,776	10,800	11,028				
32,914	33,326	36,788	36,312	38,908	41,999	45,607	48,432	51,387				
5,624	5,718	6,336	6,347	7,202	7,568	7,902	8,278	8,547				
8,707	8,467	9,201	9,394	9,831	10,534	11,614	12,359	13,140				
1,881	1,796	2,180	2,204	2,414	2,237	2,262	2,353	2,447				
16,212	15,981	17,717	17,945	19,447	20,298	21,778	22,931	24,134				
16,192	17,345	19,071	18,367	19,491	21,201	23,829	25,951	27,233				
618	476	962	1,365	1,001	869	1,062	1,507	2,002				
(434)	(360)	(427)	(1,006)	(1,593)	(1,477)	(1,465)	(1,465)	(1,465)				
245	362	(248)	(206)	(66)	373	(200)	(200)	(200)				
(281)	(478)	133	149	(187)	(529)	-	-	-				
16,850	17,375	19,491	18,569	18,644	20,937	23,225	25,543	27,560				
3,214	3,391	3,512	3,429	3,431	3,978	4,419	4,815	5,242				
19.1%	18.9%	18.1%	18.4%	18.4%	19.9%	19.0%	19.7%	20.5%				
10.8%	11.8%	12.8%	10.3%	10.7%	12.7%	13.6%	14.5%	15.6%				
13.63%	14.00%	15.97%	15.48%	15.21%	16.95%	18.91%	20.82%	22.34%				
0	0	0	0	0	-365	-446	-135	-160				
19,891	11,612	61,819	10,218	19,419	12,419	13,216	13,209	16,865				
32.22	33.32	33.89	33.73	33.81	34.26	34.73	35.17	35.64				
52.00	52.82	53.07	52.54	52.55	53.12	53.43	53.83	54.25				
52.80	52.82	53.07	52.54	52.55	53.12	53.33	53.83	54.25				
4,222	4,170	4,093	4,043	3,976	3,954	3,947	3,940	3,943				
4,236	4,182	4,105	4,053	3,986	3,965	3,957	3,950	3,953				
\$1.46	\$1.50	\$1.54	\$1.58	\$1.62	\$1.66	\$1.70	\$1.74	\$1.78				
0%	0%	13%	(6%)	2%	5%	15%	13%	8%				
0%	(25%)	2%	2%	6%	11%	11%	10%	8%				
1%	3%	11%	(6%)	9%	11%	10%	7%	8%				
0%	12%	13%	-17%	1%	23%	16%	8%	8%				
4%	-3%	3%	-2%	1%	0%	1%	1%	1%				
1%	1%	1%	11%	-13%	1%	1%	1%	1%				
0%	2%	14%	5%	8%	11%	11%	8%	8%				
3%	-1%	2%	8%	4%	0%	1%	1%	1%				
1%	1%	1%	1%	1%	8%	9%	8%	8%				
1%	2%	11%	0%	0%	13%	5%	5%	4%				
1%	-9%	9%	2%	5%	7%	10%	6%	6%				
10.8%	21%	21%	1%	10%	-7%	1%	1%	1%				
2%	-1%	11%	4%	0%	4%	7%	5%	5%				
4%	10%	-4%	0%	0%	11%	10%	7%	7%				
-33%	23%	152%	41%	71%	17%	21%	21%	21%				
-26%	-17%	19%	136%	58%	-7%	-1%	0%	0%				
190%	70%	-128%	12%	-226%	183%	100%						
1%	3%	12%	0%	0%	11%	11%	9%	9%				
1%	2%	7%	2%	0%	16%	11%	9%	9%				
0%	3%	13%	-2%	0%	11%	11%	9%	9%				
0%	0%	16%	-4%	-2%	12%	11%	9%	9%				
72%	74%	76%	73%	73%	76%	78%	79%	80%				
27%	27%	26%	24%	27%	27%	28%	29%	29%				
65.4%	63.3%	63.4%	66.4%	67.9%	65.5%	66.6%	64.5%	65.4%				
67.0%	68.3%	66.2%	70.4%	71.0%	71.0%	70.9%	69.0%	71.1%				
69.1%	63.3%	63.4%	67.9%	68.7%	66.9%	66.6%	68.5%	68.4%				
13.3%	11.1%	11.1%	11.8%	12.7%	12.0%	11.4%	11.2%	10.9%				
17.5%	16.1%	16.1%	17.5%	17.4%	16.8%	16.8%	16.8%	16.8%				
32.5%	31.6%	31.6%	34.8%	34.1%	34.9%	33.7%	33.7%	33.7%				
32.5%	31.6%	31.1%	33.4%	33.4%	32.3%	31.5%	31.2%	30.9%				
33.5%	33.0%	33.5%	34.1%	34.4%	34.5%	34.9%	34.7%	34.8%				
1.2%	0.9%	1.7%	2.3%	1.8%	1.4%	1.5%	2.0%	2.6%				
-0.9%	-0.7%	-4.7%	-1.9%	-1.2%	-0.5%	-2.1%	-1.6%	-1.6%				
0.2%	0.2%	0.2%	0.3%	0.3%	-0.8%	0.0%	0.0%	0.0%				
33.3%	33.3%	34.2%	34.5%	32.9%	33.3%	33.6%	34.4%	35.3%				
6.5%	6.4%	6.2%	6.4%	6.1%	6.3%	6.4%	6.5%	6.7%				
27.4%	27.3%	26.0%	28.1%	26.9%	27.0%	27.2%	27.9%	28.6%				
37.3%	37.4%	36.5%	38.8%	39.4%	38.7%	39.2%	38.3%	37.7%				

Disclosure Appendix

Reg AC

I, Michael Ng, CFA, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company or companies and its or their securities. I also certify that no part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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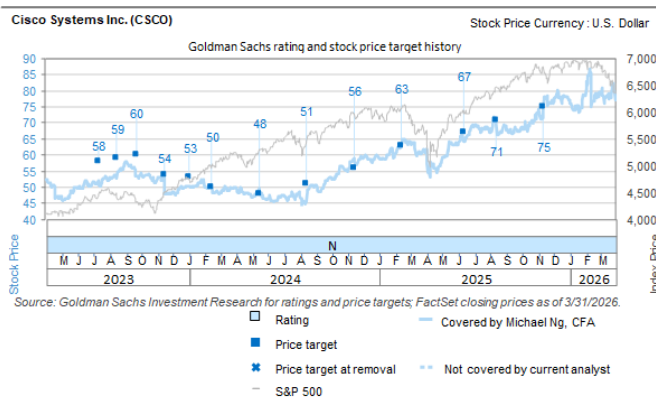
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Target price history table(s)

Cisco Systems Inc. (CSCO)

Date of report	Target price (\$)	Closing price (\$)
13-Nov-25	75.00	77.38
14-Aug-25	71.00	69.30
13-Jun-25	67.00	64.09
13-Feb-25	63.00	63.84
14-Nov-24	56.00	57.92
15-Aug-24	51.00	48.53
16-May-24	48.00	48.34
15-Feb-24	50.00	49.06
02-Jan-24	53.00	50.51
16-Nov-23	54.00	48.04
22-Sep-23	60.00	53.57
17-Aug-23	59.00	54.73
11-Jul-23	58.00	52.12

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